

The Board of Directors is pleased to announce the unaudited Group results for the six months period ended 30 June 2013.

PERFORMANCE OVERVIEW

The Group achieved half-year comprehensive income of Shs 3.677 billion compared to Shs 2.798 billion in the first half of 2012, a growth of 31%.

The Group registered profit before tax of Shs 2.280 billion compared to Shs 1.823 billion in the first half of 2012, a growth of 25%.

The Group's core business streams generated total revenue of Shs 4.669 billion up from Shs 3.508 billion for the 6 months period to 30 June 2012, a growth of 33%.

- The insurance revenues amounted to Shs 4.4 billion, 31% growth over the Shs 3.4 billion achieved in the first half of 2012.
- The asset management business registered revenues of Shs 267 million, a growth of 67% over Shs 160 million achieved in the first half of 2012.

Investment income for the period to 30th June 2013 amounted to Shs 3.744 billion, a growth of 44% from Shs 2.593 billion achieved in the first half of 2012.

The Group continued to implement its growth strategies both in the local and regional markets by opening new offices in the counties and in the region. To support this growth, the Group continues to invest in the implementation of IT and business transformation strategy including a new IT architecture as well as investment in Human Capital. Despite the cost of implementing these initiatives, the operating expenses growth of 25% over the first half of 2013 is slower than the 33% growth in revenue in the same period and is aligned to the Group's objective of controlling expenses while investing for growth.

The Group's asset base grew by 33% to Shs 42.974 billion from Shs 32.326 as at June 2012. Assets under management by the asset management arm of the Group increased by 34% to Shs 32.7 billion from Shs 24.4 billion as at end of June 2012.

ACCOUNTING POLICIES AND METHODS

The Group adopted IFRS 9 from 1 January 2013. No material changes have arisen because of adopting the standard.

DIVIDEND

In line with the Group's practice, the Board of Directors does not recommend payment of an interim dividend.

Consolidated income statement

	30 June 2013 Shs'000	31 December 2012 Shs'000	30 June 2012 Shs'000
Gross earned premiums	4,402,259	6,849,692	3,349,667
Less: reinsurance premium ceded	(577,578)	(893,001)	(452,149)
Net earned premiums	3,824,681	5,956,691	2,897,518
Fund management fees	267,164	377,208	159,035
Investment income	1,060,872	1,971,016	1,756,900
Net realised gains on financial assets	333,778	45,554	2,061
Net fair value gains on financial assets at fair value through profit and loss	2,349,941	3,032,092	833,837
Commissions earned	137,586	307,639	109,193
Other income	12,223	53,184	13,593
Total Revenue	7,986,245	11,743,384	5,772,137
Expenses			
Insurance claims and loss adjustment expenses	1,731,578	4,282,914	3,010,185
Less: amount recoverable from reinsurers	(144,266)	(1,803,019)	(1,752,426)
Change in actuarial value of policyholder benefits	909,868	1,189,436	556,344
Net insurance benefits and claims	2,497,180	3,669,331	1,814,103
Interest payments/increase(decrease) in unit value	1,178,365	1,608,828	541,997
Operating and other expenses	1,229,229	2,286,578	985,489
Commissions payable	887,553	1,476,086	660,503
Total Expenses	5,792,327	9,040,823	4,002,092
Profit before share of the associate	2,193,918	2,702,561	1,770,045
Share of profit of the associate	86,408	146,845	53,094
Profit before tax	2,280,326	2,849,406	1,823,139
Income tax expense	(121,984)	(329,945)	(143,866)
Profit for the year	2,158,342	2,519,461	1,679,273
Basic and diluted Earnings Per Share (Kshs per share)	1.14	1.40	0.93

Consolidated statement of comprehensive income

	30 June 2013	31 December 2012	30 June 2012
	Shs'000	Shs'000	Shs'000
Profit for the year	2,158,342	2,519,461	1,679,273
Other comprehensive income items net of tax:			
Gains on revaluation of land and buildings	-	147,967	-
Gains on available-for-sale financial assets	1,512,583	1,527,995	1,123,217
Currency translation losses	6,187	(10,689)	(4,531)
Total other comprehensive income	1,518,770	1,665,273	1,118,686
Total comprehensive income for the year	3,677,112	4,184,734	2,797,959

Consolidated statement of financial position

	30 June 2013	31 December 2012	30 June 2012
	Shs'000	Shs'000	Shs'000
Capital employed			
Share capital	189,145	189,145	189,145
Share premium	3,164,455	3,164,455	3,164,455
Other reserves	8,094,041	5,745,519	4,649,890
Retained earnings	5,058,684	2,900,342	3,082,059
Proposed dividends	-	472,863	-
Shareholders' funds	16,506,325	12,472,324	11,085,549
REPRESENTED BY:			
Assets			
Property and equipment	1,037,582	948,236	667,424
Intangible assets	132,219	113,817	120,606
Investment in associate	1,529,667	1,459,826	1,433,582
Investment property	1,904,185	1,706,057	1,415,740
Available for sale quoted investments	4,618,125	4,937,397	4,896,617
Financial assets at fair value through profit and loss			
- quoted ordinary shares	8,981,007	6,084,289	4,933,221
-unquoted ordinary shares	3,611	54,009	50,490
- unit trusts	7,377,714	6,064,687	4,617,751
-Corporate bonds	-	28,253	-
- government securities	451,824	176,562	222,246
Government securities held to maturity	7,474,347	6,685,780	6,105,066
Corporate bond held to maturity	523,089	508,358	413,904
Mortgage loans	865,611	812,022	771,090
Loans to policy holders	355,282	309,455	274,145
Receivables arising out of reinsurance arrangements	30,626	48,912	-
Receivables arising out of direct insurance arrangements	846,263	540,599	334,979
Reinsurers' share of technical provisions and reserves	2,414,148	2,396,262	2,289,532
Receivables from related parties	16,469	5,075	4,626
Deferred acquisition costs	136,962	131,274	118,395
Deferred income tax	4,198	4,198	3,981
Tax recoverable	193,230	32,240	3,905
Other receivables	650,249	381,130	414,294
Deposits with financial institutions	3,144,406	1,975,913	2,792,042
Cash and bank balances	282,681	415,814	442,762
Total assets	42,973,495	35,820,165	32,326,398
Liabilities			
Insurance contracts liabilities	11,480,885	10,467,211	9,764,208
Amounts payable under deposit administration contracts	6,795,670	5,787,072	4,695,244
Liabilities under investment contracts	5,751,526	4,845,527	4,000,944
Unearned premium	1,558,097	1,292,195	1,129,164
Creditors arising from reinsurance arrangements	34,446	183,861	96,122
Retirement benefit liability	14,080	14,080	49,547
Bank loan	-	-	839,198
Other payables	427,028	636,282	551,364
Dividend Payable	138,445	-	-
Overdraft	162,318	46,810	115,058
Current income tax payable	104,675	74,803	-
Total liabilities	26,467,170	23,347,841	21,240,849
Net assets	16,506,325	12,472,324	11,085,549

Consolidated statement of changes in equity (Cont'd...)

Period ended 30 June 2012	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Total Shs'000
At start of year	189,145	3,164,455	3,531,204	1,388,926	283,718	8,557,448
Comprehensive income for the year						
Profit of the year	-	-	-	1,679,273	-	1,679,273
Other comprehensive income/(loss):						
Currency translation losses	-	-	(4,531)	-	-	(4,531)
Fair value gains on available-for-sale financial assets	-	-	1,123,217	-	-	1,123,217
Total other comprehensive income	-	-	1,118,686	-	-	1,118,686
Total comprehensive income for the year	-	-	1,118,686	1,679,273	-	2,797,959
Transfer to other reserves	-	-	-	-	-	-
Transactions with owners						
Dividends:						
- Final for 2011 paid	-	-	-	13,860	(283,718)	(269,858)
-Proposed final for 2011	-	-	-	-	-	-
Total Transaction with Owners	-	-	-	13,860	(283,718)	(269,858)
At End of Period	189,145	3,164,455	4,649,890	3,082,059	-	11,085,549

Consolidated statement of cash flows

	30 Jun. 2013 Shs'000	31 Dec. 12 Shs'000	30 Jun. 2011 Shs'000
Operating activities			
Cash generated from operations	758,616	2,485,976	2,276,285
Income tax paid	(229,671)	(227,486)	(142,088)
Net cash from operating activities	528,945	2,258,490	2,134,197
Investing activities			
Purchase of property and equipment	(123,924)	(224,209)	(55,482)
Purchase of intangible assets	(30,414)	(21,538)	(15,483)
Purchase of investment property	(198,127)	(120,631)	(10,446)
Sale of investment property	-		13,600
Investment in associate	-	(20,000)	(19,879)
Net investment in government securities at fair value through profit and loss	25,840	63,017	11,470
Investment in government securities held to maturity	(1,065,547)	(2,311,327)	(1,737,517)
Investment in unit trusts	(445,623)	(530,679)	(228,262)
Purchase corporate bond held for trading	-	(28,253)	-
Purchase of corporate bond held to maturity	(14,731)	(225,029)	(130,575)
Purchase of quoted shares at fair value through profit and loss	(136,872)	(59,260)	(131,219)
Proceeds from disposal of quoted shares - at fair value through income statement	661,756	110,195	9,956
Proceeds from disposal of available for sale quoted shares	601,434		-
Purchase of unquoted shares	-	(3,519)	-
Mortgage loans advanced	(69,973)	(260,996)	(119,890)
Mortgage loans repayments	16,383	127,871	69,348
Net -policy loans advanced	(141,711)	(221,471)	(26,841)
Policy loans repayments	95,884	159,320	-
Dividend received	551,163	463,268	440,324
Rent and interest received	999,786	1,521,412	298,143
Net cash (used in)/generated from investing activities	725,325	(1,581,829)	(1,632,753)
Financing activities			
Loan repayment	-	(950,047)	-
Dividends paid	(334,418)	(269,858)	(269,858)
Net Cash used in financial activities	(334,418)	(1,219,905)	(269,858)
Net increase/ (decline) in cash and cash equivalents	919,852	(543,244)	231,586
At start of year	2,344,917	2,888,161	2,888,161
Increase / (decrease)	919,852	(543,245)	231,586
At end of period	3,264,769	2,344,917	3,119,747

Consolidated statement of changes in equity (Cont'd...)

Period ended 31 December 2012	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Total Shs'000
At start of year	189,145	3,164,455	3,531,204	1,388,926	283,718	8,557,448
Comprehensive income						
Profit of the year	-	-	-	2,519,461		2,519,461
Other Comprehensive income/(loss)						
Gain on revaluation of land and buildings	-	-	147,967	-	-	147,967
Currency translation losses	-	-	(10,689)	-	-	(10,689)
Fair value losses on available-for-sale financial assets	-	-	1,527,995	-	-	1,527,995
Total other comprehensive income	-	-	1,665,273	-	-	1,665,273
Total comprehensive income for the year	-	-	1,665,273	2,519,461	-	4,184,734
Transfer to other reserves	-	-	549,042	(549,042)	-	-
Transactions with owners						
Dividends:						
- Final for 2011	-	-	-	13,860	(283,718)	(269,858)
- Proposed final for 2012	-	-	-	(472,863)	472,863	-
Total transactions with owners	-	-	-	(459,003)	189,145	(269,858)
At end of period	189,145	3,164,455	5,745,519	2,900,342	472,863	12,472,324

Consolidated statement of changes in equity

Period ended 30 June 2013	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Total Shs'000
At start of year	189,145	3,164,455	5,745,519	2,900,342	472,863	12,472,324
Total comprehensive income for the year						
Profit of the year	-	-	-	2,158,342	-	2,158,342
Other comprehensive income/(loss):						
Currency translation losses	-	-	6,187	-	-	6,187
Fair value gains on available-for-sale financial assets	-	-	1,512,583	-	-	1,512,583
Total other comprehensive income	-	-	1,518,770	-	-	1,518,770
Total comprehensive income for the year	-	-	1,518,770	2,158,342	-	3,677,112
Transfer to other reserves	-	-	-	-	-	-
Transactions with owners						
Treasury shares			829,752			829,752
Dividends:						
- Final for 2012 paid	-	-	-	-	(472,863)	(472,863)
-Proposed final for 2013	-	-	-	-	-	-
Total transactions with owners	-	-	829,752	-	(472,863)	356,889
At end of period	189,145	3,164,455	8,094,041	5,058,684	-	16,506,325